SESSION 5: ACCOUNTING FOR INVESTMENT IN ASSOCIATE AND JOINT VENTURE

Objectives

At the end of this session, you should be able to:

(a) prepare consolidated statement of financial position and consolidated statement of comprehensive income involving a parent, a subsidiary and an associate; and

(b) prepare consolidated statement of financial position and consolidated statement of comprehensive income involving a parent, a subsidiary and joint venture.

Now read…

Introduction

The revised IAS 28 'Investment in Associate' requires that the equity accounting method is applied in dealing with both an associate and joint venture in the consolidated financial statements.

Application of the Equity Method – In the Separate Financial Statement of the Investor

In the case of an investor that issues consolidated financial statements (because it has subsidiaries), investment in associate should be either accounted for at cost, or in accordance with IFRS 9 financial statements

Application of the Equity Method in Accounting for associate in consolidated financial Statements

- investment in an associate is accounted for using the equity method from the date on which it becomes an associate.
- In the CSoFP, the investment in an associate is initially recognised at cost and the carrying amount is increased or decreased to recognise the investor's share of the profit or loss of the investee after the date of acquisition.
- In the consolidated statement of comprehensive income (CIS) or consolidated statement of comprehensive income (CSoCI), group's share of associate's profit after tax is recognised as a separate line item (after operating profit)
- Distributions (dividend) received from an investee reduce the carrying amount of the investment.

Equity Accounting Method

	GH¢
Cost of investment	XXX
Add/Subtract Investor's share of post-acquisition profit or loss	XXX
Less share of dividend received	(XXX)
Less impairment	(XXX)
Less PUP - If parent sold to associate	(XXX)
Investment in Associate	**XXX**

Upstream and Down-stream Transactions

Profits and losses resulting from 'upstream' and 'downstream' transactions between an investor (including its consolidated subsidiaries) and an associate are recognised in the investor's financial statements only to the extent of unrelated investors' interests in the associate. 'Upstream' transactions are, for example, sales of assets from an associate to the investor. 'Downstream' transactions are, for example, sales of assets from the investor to an associate. ***The investor's share in the associate's profits and losses resulting from these transactions is eliminated.***

Required adjustments with associates

i) **Fair value and depreciation adjustments**
When calculating the fair value reserves for the associate, the effect of the fair value adjustments should be included. The fair value adjustment may then result in a depreciation adjustment after acquisition.

ii) **Provisions for unrealised profit (PUP)**
IAS 28 requires unrealised profits on transactions between the group and the associate to be eliminated to the extent of the investor's interest. The provision for the unrealised profit adjustment is calculated as: PURP= Investors share (%) X URP on inventory

Note: Intercompany transactions between the group (whether with the Investor entity or a subsidiary of the investor entity) and the associate are not eliminated within the consolidated statement of comprehensive income or consolidated statement of financial position. This is because the associate is outside of the group. Thus the transactions/balances are with a third party to the group and so may be reported within the group financial statements. However, [as explained, in the immediately preceding paragraph], unrealized profit on transactions must be eliminated on consolidation.

a) **Upstream Transactions [Associate sells to Investor]**
In the Consolidated Statement of Financial Position
Reduce [Debit] Retained earnings: Reduce [Credit] Inventory (note that the investors share of associate profit or loss is recognised in retained earnings)

In the Consolidated Statement of Comprehensive Income
Reduce [Debit] Income from Associ*ate*

b) **Down-stream transactions [Investor sells to Associate]**
In the Consolidated Statement of Financial Position
Reduce [Debit] Retained earnings: Reduce [Credit] Investment in Associate

In the Consolidated Statement of Comprehensive Income
Increase [Debit] Cost of sales

Illustration 1

Gyedi Industrial Holding Company (GIHOC) has three subsidiaries. On 1 January 2024, it acquired 50,000 shares of Asona Bottling Company (ABC) in the stock market at GH¢2.40 per share. The stated capital of ABC consists of 200,000 shares issued at GH¢1.00 per share. The retained earnings of ABC as at 1 January 2024 was GH¢60,000. In the year ended 31 December 2024, ABC earned profit after tax of GH¢48,000 from which a it declared a dividend of GH¢20,000

Required

How will ABC's financial position and operational results be accounted for in the individual and consolidated accounts of GIHOC for the year ended 31 December 2024?

Solution 1

In the separate financial statement of GIHOC

In the individual statement of financial position of the GIHOC, Investment in Associate ABC will be recorded on 1 January 2024 at cost of GH¢120,000. Unless there is impairment in the value of the investment, this amount will remain in the individual statement of financial position of GIHOC as such. **(Dr. Cost of investment Cr. Cash/Bank/Deferred Consideration)**

In the individual statement of comprehensive income/statement of comprehensive income, it will record Dividend income received of GH¢ 5,000 (25% of the dividend declared) **(Dr. Cash/Div Receivable Cr. SPL)**

In the Consolidated Financial Statements

In the CSoFP as at 31 December 2024, Investment in Associate ABC will be shown at cost + share of **post-acquisition retained earnings** i.e. GH¢120,000 + 25% of (48,000-20,000) = GH¢ 127,000. In other words, Cost + sahre of post-acquisition profit, less share of dividend - GH¢120,000+(25%x48,000) – (25%x20,000) = 127,000.

In the CIS/CSoCI, the share of profit after tax of associate of 25% of GH¢48,000 = GH¢12,000 will be shown as a separate line item (after operating profit). The dividend income is eliminated from the consolidated SPL and replaced with a share of the associate income of GH¢12,000.

Illustration 2

Alavanyo Ltd, a holding company with many subsidiaries also holds 30% of the equity shares in Dzibodi Ltd. During the year ended 31 December 2024, Alavanyo made sales of GH¢200,000 to Dzibodi representing cost plus 25% mark-up. At the year-end Dzibodi has all these goods still in inventories.

Required: Show the relevant consolidation adjustments in respect of this transaction

Solution 2

Alavanyo has made an unrealised profit of GH¢40,000 (25/125 X GH¢200,000) on its sale to the associate. The group's share of this is 30% = GH¢12,000. This must be eliminated

Debit Retained Earning of Alavanyo/Cost of sales GH¢12,000

Credit	Investment in Associate Dzibodi	GH¢12,000

Because the sale was made to the associate, the group's share of the unsold inventories forms part of the investment in Associate at the year end.

If the sale had been made by Associate Dzibodi to Investor Alavanyo the consolidation adjustment would have been as follows:

Debit	Share of Associate Profit	GH¢12,000
Credit	Group Inventories of Alavanyo	GH¢12,000

In preparing the CIS/CSoCI, the GH¢12,000 would be deducted from the group's share of the associate's profit.

Illustration 3

Father Ltd acquired 75% of the ordinary shares of Son Ltd in 2021 for a cash consideration of GH¢10 million. On the date of acquisition, the retained earnings of Son had a balance of GH¢6million and the non-controlling interest in Son was fair valued (based on stock exchange valuation) at GH¢2 million.

A year after, Father Ltd acquired 30% of the shares of Niece Ltd on the secondary capital market for GH¢1.5 million, on which date the retained earnings on the investee company were GH¢3 million.

The statements of financial positions of Father Ltd and the two investee companies as at 31 December 2025 were as follows:

	Father	Son	Niece
	GH¢'000	GH¢'000	GH¢'000
Non-current assets			
Property, plant and equipment	28,000	15,000	6,000
Investment in Shares	20,000		
	---	---	---
	48,000	15,000	6,000
Current assets	12,000	6,000	3,000
	---	---	---
Total assets	60,000	21,000	9,000
	======	=====	=====
Equity			
Stated capital (Equity shares @ GH¢0.50)	20,000	2,000	1,000
Retained earnings	15,000	11,000	5,000
	---	---	---
	35,000	13,000	6,000
Long term loans	16,000	2,500	1,000
Trade payables	9,000	5,500	2,000
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	60,000	21,000	9,000

Additional information:

i) During the year 2013, Father sold goods to Niece for GH¢1.6 million at a margin of 25%. At the reporting date, 31 December 2025, Niece still held one-quarter of these goods in inventory

ii) At the reporting date Niece owed Father an amount of GH¢500,000. The financial records of both companies agreed on this figure.

iii) At 31 December 2025, it was determined that the investment in Niece was impaired by GH¢70,000. No impairment had been recognised with respect to goodwill associated with the acquisition of Son Ltd.

Required: Prepare the consolidated statement of financial position of Father Ltd group as at 31 December 2025

Solution 3

Father Ltd Group
Consolidated Statement of Financial Position as at 31 December 2025

	GH¢'000
ASSETS	
Non-current assets	
Property, plant and equipment [28,000+15,000]	43,000
Goodwill (w3)	4,000
Investments in shares [20,000-10,000-1,500]	8,500
Investment in Associate (w6)	2,000

	57,500
Current assets [12,000+6,000]	18,000

Total assets	75,500
	======
EQUITY AND LIABILITIES	
Equity	
Share capital	20,000
Retained earnings (w5)	19,250

	39,250
NCI (W4)	3,250

	42,500
Long term loans [16,000+2,500]	18,500
Trade payables [9,000+5,500]	14,500

Equity and liabilities	75,500
	=====

Workings [All figures are in GH¢'000]

W1 Group structure

	Son	Niece
Father	75%	30%
NCI	25%	
Other Shareholders		70%
	Subsidiary	Associate

W2 Net assets of Son Ltd

	At acquisition	At Reporting date
Share capital	2,000	2,000
Retained Earnings	6,000	11,000
	---	---
	8,000	13,000
	======	======
Post acquisition retained profit [13,000-8,000]		5,000

W3 Goodwill – Son Ltd

Cost of investment	10,000
Fair value of NCI at acquisition	2,000

	12,000
Net assets Of Son Ltd at acquisition (w2)	8,000

Goodwill	4,000
	=====

W4 Non-controlling interest at reporting date

Fair value of NCI at acquisition	2,000
Share of post-acquisition profit	
[25% X 5,000(W2)]	1,250

	3,250
	====

W5 Consolidated Retained Earnings

Father: Balance b/f	15,000
Son: Share of post-acquisition retained profit	
[75% of 5,000(w2)	3,750
Niece: Share of post-acquisition retained profit	
[30% of (5,000 -3,000)]	600
PURP [30% of (25% of 400)]	(30)
Impairment	(70)

	19,250
	======

W6 Investment in Associate

Cost of investment	1,500

Share of post-acquisition profit [30% of (5,000-3,000)]	600
PURP (W5)	(30)
Impairment	(70)
	2,000

Illustration 4

Nii Ltd acquired 80% of the ordinary shares of Maa Ltd in 2022. Nii had earlier in January 2021, acquired 30% of the ordinary shares of Fio Ltd.

Below are the Statements of Comprehensive Income of Nii Ltd and the investee entities for the year ended 31 December 2025

	Nii Ltd GH¢'m	Maa Ltd GH¢'m	Fio Ltd GH¢'m
Revenue	16,000	9,000	6,000
Cost of sales	(8,000)	(4,000)	(4,000)
Gross profit	8,000	5,000	2,000
Operating expenses	(1,500)	(1,400)	(100)
Earning before interest and tax	6,500	3,600	1,900
Finance costs	(1,500)	(200)	(100)
Profit before tax	5,000	3,400	1,800
Taxation	(1,400)	(1,000)	(600)
Profit for the year	3,600	2,400	1,200
Other comprehensive income	400		500
Total comprehensive income	4,000	2,400	1,700

Additional information

a) During the year 2025, Fio Ltd sold goods to Nii Ltd for GH¢1,200 million at a margin of 20%. At the end of the reporting period Nii Ltd still held one -quarter of these goods in inventory.

b) At 31 December 2025, it was determined that an impairment loss of GH¢40 million had arisen in respect of the investment in Fio Ltd.

Required

Prepare the consolidated statement of comprehensive income for the Nii Ltd group for the year ended 31 December 2025.

Solution to illustration 4

Nii Ltd Group Ltd
Consolidated Statement of Comprehensive Income for the year ended 31 December 2013

	GH¢'m
Revenue[16,000+9,000]	25,000
Cost of sales [8,000+4,000]	(12,000)
Gross profit	13,000
Operating expenses [1,500+1,400]	(2,900)
EBIT/Operating profit	10,100
Finance costs [1,500+200]	(1,700)
Income from associate (w2)	302
Profit before tax	8,702
Taxation [1,400+1,000]	(2,400)
Profit for the period	6,302
Other comprehensive income	400
Other comprehensive income [30% of 500]	150
Total comprehensive income	6,852
Profit attributable to:	
NCI Shareholders [20% of 2,400]	480
Members of Parent –Nii Ltd	5,822
	6,302
Total comprehensive income attributable to:	
NCI shareholders [20% of 2,400]	480
Members of Parent –Nii Ltd (balancing figure)	6,372
	6,852

Workings

W1 Intercompany and PURP
Transactions between Nii Ltd [The Investor] and Fio Ltd [The Investee-Associate] are not eliminated since the associate is outside the group. Adjustment is only effected for unrealised profit on unsold /unused inventory to the extent of the investor's interest.
Goods in inventory [1/4 of GH¢1,200 million] = GH¢300 million
Profit loading on inventory is 20% of GH¢300 million = GH¢60 million
Adjustment is then made for PURP at 30% of GH¢60 million = GH¢18 million

W2 Share of profit of associate

		GH¢'million
Share of Profit of associate per statement of comprehensive income		360
	[30% of GH¢1,200 million]	
Less:	Impairment on investment in associate	(40)
	PURP (W1)	(18)

		302
		====

Illustration 5

Victory Ltd has investment in two companies, Happy Ltd and Comfort Ltd.

The separate financial statements of the three entities for 2025 are as below:

Statement of Profit or Loss and Other Comprehensive Income for the year ended 31 December 2025

	Victory GH¢	Happy Ltd GH¢	Comfort Ltd GH¢
Sales Revenue	400,000	150,000	250,000
Cost of sales	(300,000)	(100,000)	(180,000)
	---	---	---
Gross Profit	100,000	50,000	70,000
Operating expenses	(60,000)	(47,000)	(65,000)
Investment income	1,000	-	-
	---	---	---
Net Profit before Tax	41,000	3,000	5,000
Taxation	(13,000)	(1,000)	(1,500)
	---	---	---
Net Profit for the period	28,000	2,000	3,500
Other comprehensive income	-	-	-
	---	---	---
Total Comprehensive Income	28,000	2,000	3,500
	=====	=====	=====

Statement of Financial Position as at 31 December 2025

	Victory Ltd GH¢	Happy Ltd GH¢	Comfort Ltd GH¢
ASSETS			
Non-current assets			
Property, plant and equipment	610,000	20,500	32,000
Investments in shares	41,000	-	-
	---	---	---
	651,000	20,500	32,000
Current assets			
Inventories	188,000	9,000	16,000
Trade and other receivables	130,000	21,000	10,000

Cash and cash equivalents	6,000	1,500	1,500
	---	---	---
	324,000	31,500	27,500
Total Assets	975,000	52,000	59,500
	======	======	======
EQUITY AND LIABILITIES			
Equity			
Ordinary shares [issued at GH¢ 1.00]	356,000	-	25,000
Ordinary shares [issued at GH¢0.50]	-	20,000	-
Retained Earnings	417,830	4,500	9,900
	---	---	---
	773,830	24,500	34,900
Current liabilities			
Trade and other payables	178,000	25,500	23,400
Taxation	23,170	2,000	1,200
	---	---	---
	201,170	27,500	24,600
Total equity and liabilities	975,000	52,000	59,500
	======	======	======

Additional information

i) Victory acquired 6,250 shares of Comfort Ltd in 2019 at a total cost of GH¢12,000. This acquisition gives Victory Ltd significant influence over Comfort Ltd. At the date of acquisition Comfort Ltd's retained earnings had a balance of GH¢4,300. The fair values of Comfort Ltd's assets and liabilities approximated their carrying amounts.

ii) On 1 January 2025, Victory Ltd acquired 32,000 of Happy Ltd's shares at a total cost of GH¢29,000. At the date of acquisition, Happy Ltd's retained earnings had a balance of GH¢3,500. The fair values of the assets and liabilities approximated their carrying amounts except a piece of land (with a carrying amount of GH¢2,000) which had a fair value of GH¢2,500. This fair valuation adjustment has not yet been reflected in the separate financial statement of Happy Ltd.

iii) The investment income of Victory Ltd relates to dividends received from the investee entities as follows:

Happy	GH¢800
Comfort	GH¢200

Victory Ltd also paid interim dividend of GH¢ GH¢10,000

iv) In 2025, Happy Ltd sold goods to Victory Ltd at a mark-up of 20%. The goods cost Happy Ltd GH¢1,000 and one-half remained in inventory at the year end.

v) Victory Ltd undertakes annual impairment reviews of goodwill. An impairment loss of GH¢1,500 has been identified in respect of Happy Ltd for the year ended 31 December 2025. So far, no impairment loss relating to Comfort Ltd is identified.

vi) The group has a policy of measuring non-controlling interest as proportionate share of net asset of subsidiary.

Required

a) Prepare the consolidated statement of profit or loss and other comprehensive income for Victory Ltd group for the year ended 31 December 2025.

b) Prepare the consolidated statement of financial position of Victory Ltd as at 31 December 2025.

Solution to Illustration 5

Victory Ltd Group

Consolidated Statement of Profit or Loss and Other Comprehensive Income for the Year Ended 31 December 2025

	GH¢
Sales (400,000+150,000-1200)	548,800
Cost of sales (300,000+100,000+100 -1200)	(398,900)
Gross profit	149,900
Operating expenses (60,000+47,000)	(107,000)
Goodwill impairment	(1,500)
Operating profit	41,400
Share of profit of Associate (25% of 3500)	875
Net profit before taxation	42,275
Taxation (13,000+1,000)	(14,000)
Profit for the period	28,275
Attributable to NCI [20% of (2,000-100)]	380
Members of Victory	27,895
	28,275

Consolidated Statement of Financial Position as At 31 December 2025

ASSETS	GH¢
Non-current Assets	
PPE (610,000+20,500+500)	631,000
Investment in Associate (w5)	13,400
Goodwill (w2)	8,300
	652,700
Current Assets	
Inventories [188,000+9,000 -100(w3)]	196,900
Trade and other receivables (130,000+21,000)	151,000

Cash and cash equivalent (6,000+1,500)	7,500

	355,400

Total Assets	1,008,100
	=======
EQUITY AND LIABILITIES	
Equity	
Stated capital	356,000
Retained earnings (w6)	418,450

	774,450
NCI (w4)	4,980

	779,430

Trade payables	203,500
Taxation	25,170

	228,670

Equity and liabilities	1,008,100
	=======

Workings

1 Control structure

	Happy	Comfort
Victory	80%	25%
NC1	20%	-
Others	-	75%
	====	====
	100%	100%

2. Goodwill

Cost of Investment		29,000
Net Assets		
Share capital	20,000	
Pre-acquisition retained earnings	3,500	
Revaluation surplus	500	

80% interest	24,000	19,200
	---	---
Goodwill		9,800
Impairment		(1,500)

Balance c/d		8,300
		======

3. Intra-group adjustments

a) Sales

DR	Sales	1,200	
CR	Cost of sales		1,200

b) URP

DR	Cost of sales	100	
CR	Inventory		100

4 NC1 (CSOFP)

Share capital	20,000
Retained earnings (4500-100)	4,400
Revaluation surplus	500

	24,900

20% interest	4,980

5 Investment in associate

Cost	12,000
Share of post-acquisition profit (25% of (9900-4300)	1,400

	13,400
	=====

6 Consolidated retained earnings

Victory:	Balance b/d as at 31 Dec 2025	417,830
	Goodwill impairment	(1,500)
Happy	Share of post -acquisition retained earnings [80% of (2,000-100) -1,000]	720
Comfort	25% of (9,900 -4300)	1,400

		418,450

OR

Balance b/f as at 1 January 2025:

Victory (417,830 -18,000)	399,830
Comfort [(25% of (7,200 -4300)]	725
Profit for the year	27,895
Dividend paid	(10,000)

	418,450
	=======

Application of the Equity Method to Accounting for Joint Ventures

IAS 28 (revised) and IFRS 11 require that the equity method (rather than proportional consolidation) should be applied to account for investment in joint venture [jointly controlled entity] in consolidated financial statements. Note that IFRS 11 Joint Arrangement, defines and classifies an investment as joint venture. However, to account for a joint venture, the investor must apply equity accounting, which is explained in IAS 28.

Illustration 6: Joint Venture

Set out below are the draft accounts of Major Company and its subsidiary and of the Joint Venture (Joint). Major acquired 50% of the equity capital of Joint in 2022 when the income surplus balance of Joint stood at GH¢80,000.

Statement of comprehensive incomes for the year ended 31 December 2025

	Major and Sub GH¢	Joint GH¢
Net Profit	190,000	160,000
Taxation	70,000	60,000
	120,000	100,000
Dividend	100,000	20,000
Retained Earnings	20,000	80,000

Statement of Financial Position as at 31 December 2025

	GH¢	GH¢
Tangible non-current assets	440,000	340,000
Working capital	200,000	100,000
Loan to Joint	40,000	
	830,000	440,000
Financed by		
Stated Capital	500,000	200,000
Income Surplus	330,000	200,000
Loan from Major	40,000	
	830,000	440,000

Major has taken credit for the dividend receivable from Joint. You are required to prepare the summarized Consolidated Statement of Financial Position of Major under the equity method.

Solution

Consolidated Statement of comprehensive income for the year ended 31 December 2025

	GH¢	GH¢
Net Operating profit		190,000
Share of profit of Joint Venture		50,000

		240,000
Taxation		(70,000)

Net Profit after Tax		170,000
		======

Consolidated Retained Earnings Account

Balance b/f (330,000 – 20,000)	310,000
Profit for the year	170,000

	480,000
Dividends	100,000

Balance c/d	380,000

Consolidated Statement of Financial Position as at 31 December 2025

	GH¢	GH¢
Tangible non-current assets		440,000
Investment in Joint Venture [150,000 + 50% 0f 120,000]		210,000
Dividend receivable from JV [50% of 20,000]		10,000
Net Working Capital		200,000
Loan to Venturer		20,000

		880,000
		======
Financed by		
Stated Capital		500,000
Income Surplus		380,000

		880,000
		======

**** The investment in Joint Venture has been calculated as Cost of acquisition (GH¢150,000) + Post acquisition retained profit [50% of (200,000 – 80,000)]***